

OTS06- Backtesting Options Trading Strategies

Overview:

This lecture will discuss the steps involved in backtesting options trading strategies. We will create a backtester code framework in Python to analyse the historical performance of naked options, straddle, strangle, bull, bear call spread, butterfly spread, etc.

Key Takeaways:

- A systematic way to backtest options strategies
- Create a backtester class for naked options
- Gradually add functions to the backtester class to facilitate analysis of complex options functions
- Study mark-to-market returns
- Create a trade sheet from backtesting
- Performance analysis of backtest results

Pre-requisites:

- Options Primer completion is mandatory
- All Options lectures from OTS 1 - OTS 5

Recommended time for the session & related coursework – 8 hours